

underwent a sudden shift in early 1980. The second thing this chart reveals is just how low the odds are for this book to be successful in calling for a *downtrend* in this measure, which has not trended lower in any single year among the past fifty. Nevertheless, I am confident that such a change is imminent. Look back at Figure 20-3, and you will see a momentum indicator for this graph that shows a multiple divergence and therefore a warning signal of impending trend change.

Besides the drop of upside momentum to zero, what else suggests an imminent trend change? Figure 20-9 shows that the dollar sales by S&P home-building companies has traced out a classic Elliott Wave from the 1974 low, particularly as viewed on arithmetic scale. Semilog (percentage) scale, as shown in Figure 20-10, reveals the dramatic relative weakness of the post-1979 rise: While sales value increased 400% in the six years from 1974 to 1980, it has risen only 100% in the fifteen years since then! This difference reflects an extreme slowing in the third and fifth waves, which compose the post-1982 advance.

Figure 20-11 shows the persistent uptrend in new home prices in force from the 1970s, which lasted all the way up to the first half of 1990. People were not “paying up” as much for old homes, as revealed by Figure 20-8, but those who built new homes borrowed to the hilt and built *big*. At the onset of the 1990-1991 recession, a dramatic change occurred. In the five years since then, there has been no net gain. The slight new high in late 1994 produced a major momentum divergence, indicating a dramatic slowing in the upside rate of change, a typical precursor to a reversal. The number of construction contracts obtained by F.W. Dodge Company, which peaked in 1989, has the same implications (see Figure 20-12).

A Very Selective New High in the REIT Mania

Real estate investment trusts (REITs) are not real estate but fancy packages of securities representing land and buildings and leasing operations. There are two types of REITs: equity and mortgage. The top chart in Figure 20-13 includes only those REITs that have 75 percent of their assets in equity property. The lower one includes all classes. As the Wave Principle has long recognized, the public always sells wave two in a bull market and buys wave two in a bear market. As you can see on the lower chart, REITs in the aggregate have enjoyed a modest “wave two” type rally, while equity REITs, as shown in the top chart, eked out a slight new high in the style of a fifth wave.